CHAPTER SUMMARY · ORGANIZATIONAL BEHAVIOR (OPENSTAX) · CHAPTER 10

Understanding and Managing Work Teams

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THE CHAPTER IN 6 LINES (ONE PER LEARNING OUTCOME)

- **Teams** differ from working groups: shared leadership, **mutual accountability**, collective work products. Katzenbach & Smith list **8 practices** that make teams effective.
- Teams develop through **Forming → Storming → Norming → Performing** (+ Adjourning). Development is **not linear**: teams can slide back.
- Managing a team means managing **paradox** (individual vs. collective), **boundaries** (stakeholders), and **the team itself** (task + people).
- **Conflict**, handled constructively, builds trust, buy-in, and better decisions (Lencioni; "mining"; "real-time permission").
- **Diverse teams** focus more on facts, make fewer errors, resist groupthink, and innovate more.
- **Multicultural teams** face 4 culture-based conflicts and have 4 interventions. **Cultural intelligence** (head, body, heart) can be developed.

OPENING PROFILE: EVA HARTMANN, FOUNDER AND PRESIDENT OF TRELLIS LLC (RICHMOND, VA)

- Trellis is a human capital consulting and staffing firm. Eva has about 20 years in HR, including global HR leader for a $600M plastic-film division, plus Wachovia, Genworth, Sun Microsystems, and Andersen Consulting (now Accenture).
  The chapter's first-person stories ("I led a global HR organization") match her profile, though the text never names her as author.
- **Key message**: teams must be **managed as teams**, not just as individuals. Aristotle: "the whole is greater than the sum of its parts," i.e. team **synergy**.

10.1 Teamwork in the Workplace

- Teams matter everywhere: **self-directed work teams** in manufacturing and collaboration in the **knowledge economy** (using knowledge to create tangible and intangible value).
- **Definition** (Katzenbach & Smith, "The Discipline of Teams," HBR): a team is "**people organized to function cooperatively as a group**."
- **Five elements that make a team function**: (1) common commitment and purpose, (2) specific performance goals, (3) complementary skills, (4) commitment to how the work gets done, (5) mutual accountability.

	Team	Working group
Leadership	**Shared** leadership roles	One **focused leader**
Accountability	**Individual AND mutual**	**Individual**
Purpose	A **specific purpose** the team itself delivers	Same as the broader **organizational mission**
Work and measures	Discuss, decide, and do **real work together**; judged on **collective work products**	Individual work products; performance = **sum of individual results**; judged by influence on the business (e.g. financial performance)
Example	A project team with a clear deliverable	The finance organization or a business unit, usually organized by function

Exhibit 10.2: a finance working group spreads best practices across a publisher's divisions. Not every influential relationship is on the org chart.

Eight practices of effective teams (Katzenbach & Smith)

1. **Establish urgency, demanding standards, and direction.** A team needs a compelling reason to exist. Without one, it loses momentum and "withers."
2. **Select members for skill and skill potential, not personality.** A good attitude is fine, but members must have or be able to learn the needed skills. Think about purpose and deliverables up front; you may not know which skills you need until you dig in.
3. **Pay attention to first meetings and actions.** First impressions count. The team must look competent to everyone from subject-matter experts to senior leaders. Watch the team's **emotional intelligence**.
4. **Set clear rules of behavior.** Don't rush the **ground rules**. Cover attendance, discussion, confidentiality, project approach, and conflict.
5. **Set and seize a few immediate performance-oriented tasks and goals. Quick wins** build confidence. Big tasks are just small tasks put together.

6. **Challenge the group regularly with fresh facts and information.** Facts aren't static, and "you don't know what you don't know."
7. **Spend lots of time together**, in person, by phone, and in meetings. This builds camaraderie and trust, and is often overlooked.
8. **Exploit positive feedback, recognition, and reward.** Over time, the team's **own success becomes the most rewarding thing**.

Collaboration on large, complex teams (Gratton & Erickson, "Eight Ways to Build Collaborative Teams")

- Collaboration **drops sharply as projects get complex**. The authors studied **55 large teams**.
- **Eight success factors**: (1) "signature" relationship practices; (2) executives who **role-model** collaboration; (3) a "**gift**" culture where managers mentor employees; (4) training in relationship skills; (5) a sense of community; (6) **ambidextrous leaders**, good at both task and people; (7) good use of **heritage relationships**; (8) **role clarity and task ambiguity**.
- As teams grow, practices that work for small teams **stop working**.

10.2 Team Development Over Time

Bruce Tuckman (educational psychologist, Ohio State, per the book) built a four-stage model in **1965** and added a fifth stage, **Adjourning** (disbanding when the project ends), in **1977**.

INCONSISTENCY IN THE BOOK

The chapter's own Summary of Learning Outcomes says the stages were "coined in 1977." That is wrong. The **four stages date from 1965** (Tuckman, "Developmental Sequence in Small Groups," *Psychological Bulletin*). **Adjourning was added in 1977** (Tuckman & Jensen). I checked this against outside sources.

Stage	Nickname	What it looks like
Forming	"Polite stage"	Introductions. Focus on **similarities**. Members **look to the leader for structure and direction**. Enthusiastic, but issues stay global and ambiguous. An informal **pecking order** starts to form; still friendly.
Storming	"Win-lose stage"	Members **vie for leadership** and test group processes. They **clash for control** and choose sides. Mood turns **negative**, with frustration over goals, tasks, and progress. It can be **long and painful**. Exhibit 10.4: protracted leadership fights stall progress, which is common in class group projects.
Norming		The team starts working well. **Buy-in to group goals**. Ground rules and boundaries are set and kept. Members are **willing to share responsibility and control**, and value and respect each other.
Performing		Momentum and results. The team is **completely self-directed** and needs **little management direction**. Confidence, pride, enthusiasm; **vision, team, and self are congruent**. It may become a **high-performing team**, one that has optimized both task and people relationships.

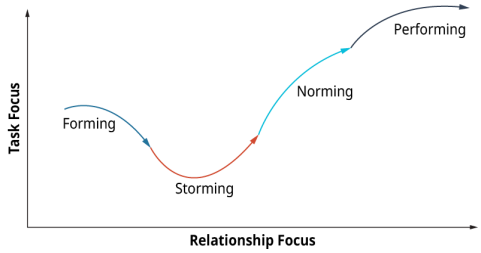


Exhibit 10.3: Tuckman's stages, plotted as **task focus** (y) against **relationship focus** (x). Task focus **dips during Storming**, then rises through Norming to its peak at Performing.

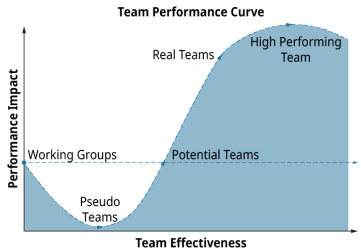


Exhibit 10.5: Team performance curve (Katzenbach & Smith; the book misspells it "Katzenberg"). A **pseudo team** performs *worse* than a working group. Potential, real, and high-performing teams climb above it. The text names these stages only in the figure.

- **Development is NOT linear. Teams can regress** when a **new member joins**, or a **new task** causes confusion or anxiety (e.g. a leader or sponsor **changes the scope**). The team then has to re-group (re-Storm, re-Form) before it Performs again.

BOX: STARTUP TEAMS (WASSERMAN, "ASSEMBLING THE STARTUP TEAM," HBSP 2012)

- Venture capitalists blamed **65% of portfolio-company failures** on management-team problems. In another study, **61% of problems** investors foresaw were team issues. These usually stem from the founders' choices when adding people. Startups may later bring in an experienced CEO.
- **The "three Rs"**, which must stay **aligned**:
  - **Relationships**: who joins. Hiring family and friends for trust has long-term hazards that outweigh the benefits; they think too alike and bring fewer perspectives and connections.

- **Roles**: the division of labor and who makes decisions. Roles set decision power and status.
- **Rewards**: "splitting the pie" of short- and long-term compensation. Founders trade equity for human capital.

10.3 Things to Consider When Managing Teams

- Leading a team is fulfilling but frustrating: it acts both as a group and as a set of individuals. **Gabarro** (*The Dynamics of Taking Charge*, 1987) quotes a turnaround manager: "People have to want to work together... that takes time." Team building was that manager's top priority, but they didn't write it down because corporate would say "so what?"
- **Point**: organizations focus on tasks and outcomes, but **people dynamics make the real difference**. Managers spend most of their time on people, not tasks.

BOX: "WHO AM I MANAGING?" (NEW MANAGERS)

- **What got you promoted (technical skill) isn't what makes you succeed next.**
- **Linda Hill**: reconciling different constituencies' expectations is "probably the most difficult" challenge for new managers. The constituencies are direct reports, peers, the boss, and customers.
- Managing only your direct reports is **wrong**; manage the other constituencies just as carefully.
- **Stakeholder checklist**: your boss, your boss's boss, peers, key influencers, internal customers. Do a meet-and-greet, then meet regularly. Ask: Whose support will I need? Who needs my support, and what do they need? Who can keep my team from succeeding? What is my ongoing influencing strategy?
- This isn't "too political"; it's necessary. "Who am I managing?" The answer is **EVERYONE**.

1. Managing paradox (Linda Hill, "Managing Your Team," HBR 1995)

- **Primary paradox**: **individual** goals and identities vs. **collective** goals and identity. Competition and win-lose attitudes can replace collaboration, so the manager must integrate individual differences toward the team goal.
- **Other paradoxes**: fostering **support AND confrontation**; focusing on **performance AND learning and development**; balancing **managerial authority AND member discretion and autonomy**; balancing the **Triangle of Relationships** between **manager, team, and individual** (Exhibit 10.6).

2. Managing boundaries (the space between the team and outside forces)

- The manager is a **buffer**, so outside pressures don't derail the team. With **emotional intelligence**, the manager also judges which outside forces should be **brought into** the team for its benefit.
- Change-initiative example: there is senior sponsorship and a team charter, but some stakeholders resist, from **lack of understanding or fear of losing power or territory**. The strategy or environment may not suit the change. The manager steers the team through the organization's complexity and egos.
- Hill, "Exercising Influence": manage relationships with people **outside the team but inside the organization**. Understand the **power dynamics**, invest in the relationships the team depends on, and **educate others** about structures, systems, or politics that hurt the team.
- Managing boundaries can mean the **difference between success and failure**.

3. Managing the team itself (process + people)

- **Process (task)**: the work plan, meetings, and milestones, from setting agendas to managing tasks and **celebrating milestones**. There is no prescribed tool; choose a project-management approach that fits the **team's and organization's culture**.
- **People**: (1) **select the right members** (skills, functions, perspectives, expertise); (2) **shape norms and culture** (how decisions are made, rules, how conflict is handled) and formalize the ground rules; (3) **coach**: help the team think problems through rather than solving them for it, give feedback, and hold members accountable.
- **Continuous improvement**: a team needn't start high-performing, but it can get there through steady gains in communication, collaboration, and performance.

10.4 Opportunities and Challenges to Team Building: Conflict

- **Sources of conflict**: communication breakdowns, competing views or goals, power struggles, personality clashes.
- **Costs if handled poorly**: distrust, disrupted progress and morale, damaged long-term relationships.
- **Benefits**: more **diversity of ideas**; better understanding of **opposing views**; better **problem-solving**; it highlights **critical points** that need more thought. Teams that work through it emerge **stronger, more trusting, and higher-performing**.

Lencioni, *The Five Dysfunctions of a Team* (2002). The chapter covers the first three:

1. **Absence of trust**: members are unwilling to be **vulnerable**, i.e. not open about their mistakes and weaknesses. This leads to:
2. **Fear of conflict**: no "unfiltered and passionate debate," only "veiled discussions and guarded comments." This leads to:
3. **Lack of commitment**: without airing opinions, members never truly **buy in** to decisions.

- Avoided conflict doesn't go away. It **resurfaces in insidious, back-channel ways**.
- **Two techniques to make conflict productive**:
  - **Mining**: one member acts as the "**miner of conflict**," digging out buried disagreements and calling out sensitive issues. This takes courage.
  - **Real-time permission**: when people get **uncomfortable** with the discord, interrupt to remind them the conflict is **necessary**, so the team doesn't sweep things under the rug.
- **The leader's role**: a leader who stifles conflict creates an **avoidance culture** where feelings build up below the surface. Instead, **model constructive conflict** and bring issues into the open.

Responses to conflict (Capobianco, Davis & Kraus 2005; Exhibit 10.7)		
	Constructive	**Destructive**
Active	Perspective taking, creating solutions, expressing emotions, reaching out	Winning, displaying anger, demeaning others, retaliating
Passive	Reflective thinking, delay responding, adapting	Avoiding, yielding, hiding emotions, self-criticizing

The goal is a **constructive** response that encourages **dialogue, learning, and resolution**.

Bottom line: conflict is never easy, but it "can and should be done." Surfacing differing views improves the team's growth and future performance.

10.5 Team Diversity

- Diverse perspectives improve **understanding of the problem** and the **quality of the solution**, so think about diversity at the **team selection stage**.
- **Business case** (Rock & Grant, "Why Diverse Teams Are Smarter," HBR Nov 2016):
  - **McKinsey 2015** studied **366** public companies. Those in the top quartile for ethnic and racial diversity in management were **35% more likely** to have financial returns above their industry mean. Those in the top quartile for gender diversity were **15% more likely**.
  - **Credit Suisse** (global): firms with **at least one woman on the board** had higher return on equity and net income growth.
- **Diverse teams focus more on facts**:
  - A study in the *Journal of Personality and Social Psychology* found diverse panels **raised more facts** and **made fewer factual errors**. Diversity changes how the **social majority** behaves.
  - Diverse teams re-examine facts, stay objective, scrutinize each other, and become aware of their own **biases**.
  - **Homogeneous teams risk groupthink** and ignore opposing views. A likely reason diverse teams use more data (from the chapter summary): members expect to have to **explain and back up** their views.
- **Diversity drives innovation** (BCG + Technical University of Munich, "The Mix That Matters"):
  - The link between management diversity and innovation is **statistically significant**: more revenue comes from new products and services.
  - It is **not just one type** of diversity. Managers who are female, or from other countries, industries, or companies, all boost innovation.
  - The effect is strongest at **complex companies** (several product lines or industry segments).
  - Gender diversity must go **beyond tokenism**: innovation rose significantly only when **more than 20% of management positions** were held by women. Many female employees don't help if few of them are managers.
  - It needs **openness to ideas from lower-level workers** and freedom to speak up.

CRITICAL THINKING CASE: "DIVERSE TEAMS HOLD COURT"

- Samuel Sommers (Tufts) ran a 2006 mock-jury study. **Racially diverse juries** exchanged a **wider range of information** than all-White juries. They considered more facts, made **fewer errors** recalling evidence, and were more willing to discuss race.
- This was **not** because the diverse members brought new information. The **mere presence** of diversity made everyone more open-minded and diligent.
- Katherine Phillips, "How Diversity Makes Us Smarter," Scientific American, 2014: "Diversity jolts us into cognitive action in ways that homogeneity simply does not."

10.6 Multicultural Teams

Four cultural differences that cause destructive conflict ("Managing Multicultural Teams," HBR):

1. **Direct vs. indirect communication**. At the extremes, the direct style can seem offensive, and the indirect style (asking questions rather than naming problems) can seem unproductive or passive-aggressive.
2. **Accents and fluency**. One language dominates; non-fluent members feel left out and may be seen as less competent.

3. **Attitudes toward hierarchy**. Hierarchical cultures clash with egalitarian ones, and people may feel disrespected or not treated according to their status.
4. **Conflicting decision-making norms**. Analysis-heavy cultures clash with quick deciders, who get frustrated with the slow pace.

Intervention	What it is / when to use it
Adaptation	Working **with or around** differences. Use it when members are willing to acknowledge differences and learn to work with them.
Structural intervention	**Reorganizing** the team to reduce friction. Use it when there are unproductive **subgroups or cliques** to break up.
Managerial intervention	Management makes decisions **without the team**. Use it **sparingly**, because it signals the team can't move forward alone.
Exit	**Last resort**: voluntary or involuntary **removal of a team member** who can no longer work productively with the team.

Cultural intelligence (CQ)

- **Cultural intelligence** is a competency or skill for functioning effectively in **cross-cultural environments**. It grows as you learn culture's influence and adapt to other norms. It **extends emotional intelligence** (recognizing your own and others' emotions).
- Lee & Liao (IESE Insight, 2015): **multicultural leaders** relate better across cultures, resolve conflicts more easily, and help in international negotiations. With less "baggage" from any one culture, they seem **culturally neutral**.
- **Four best practices** for building cross-cultural skills, from basic to advanced:
  1. **Broaden your mind**: travel, movies, books, and friends from other cultures.
  2. **Practice** (experiential learning): work or travel abroad, get to know foreign colleagues, join cross-cultural teams. E.g. the author's global HR team (China, India, Brazil, Hungary, the Netherlands, US) opened each annual meeting with a "show and tell" gift exchange.
  3. **Boost cultural metacognition**: monitor your own behavior and feelings in multicultural situations, and learn from good and bad interactions.
  4. **Develop cognitive complexity**: the most advanced practice. View situations **from more than one cultural framework**. Needs emotional intelligence, empathy, sympathy, and honest communication.

BOX: UNDERSTANDING OUR GLOBAL COLLEAGUES

- Practical hurdles: **time zones** (the author's 8 p.m. call = 8 a.m. next day in China) and **language** (colloquialisms you can't learn in class).
- "Check your own culture." The author disliked chicken feet in China; Chinese colleagues found **cheese and huge American meat portions** unappetizing.
- "Getting Cross-Cultural Teamwork Right" (HBR) names three things that **build trust**:
  - **Mutual learning**: listen and observe.
  - **Mutual understanding**: grasp the logic behind behaviors and **suspend judgment**.
  - **Mutual teaching**: instruct and facilitate to bridge gaps and resolve misunderstandings.

Three sources of CQ: head, body, heart (Earley & Mosakowski, "Cultural Intelligence," HBR Oct 2004)

Source	Component	Meaning
Head	Cognitive	Learning beliefs, customs, and taboos (e.g. training). Helpful but not experiential.
Body	Physical	Adapting **demeanor, eye contact, posture, accent**; shows deeper understanding.
Heart	Emotional / motivational	**Confidence** in your ability to adapt, plus motivation to understand the culture.

Self-assessment (Table 10.1): 12 statements rated 1-5, four per source; average each source. **Below 3** = needs improvement; **over 4** = strength. Bottom line: a multicultural team succeeds only if members **take time to understand each other** and make sure **everyone feels included**.

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